



Manika Plastech

IPO Date,

Review, Price,



The Core

Illusion Exposed

By Math

Retail investors treat **Grey Market Premium (GMP)** as guaranteed listing gains. In reality, unregulated pre-market buzz is often manufactured to generate retail oversubscription, allowing early institutional backers to offload equity at peak valuations during initial public offerings.



How Syndicates *Dump Liquidity*

When an IPO consists heavily of an **Offer for Sale (OFS)** rather than fresh expansion capital, zero proceeds enter company operations. Promoters and private equity funds extract liquid cash, leaving retail buyers holding post-allotment valuation risk.



The Hidden *Regulatory Capital* Trap

Anchor investors frequently receive discounted allocations to validate pricing. Once their mandatory **30-to-90 day lock-in** expires, institutional selling creates severe downward price pressure, trapping retail investors who bought during opening week optimism.



The Compounding **Opportunity Loss**

Historical data shows over **60% of hyped SME and mainboard IPOs** trade below their offer price within 12 months. Tying up ₹15,000 to ₹1,00,000 in speculative allotment cycles yields significant opportunity cost against broad-market index compounding.



The Golden *Rule: Exit* Instantly

Never subscribe based on reported accounting profit alone. Institutional desks demand positive **Operating Cash Flow (CFO)** matching or exceeding Net Income across 3 consecutive years to ensure earnings quality is not fabricated via aggressive working capital.



The 3-Point

Pre-Trade Audit

Before submitting your bid: **1) Verify fresh issue ratio** exceeds 70% of total size. **2) Audit CFO vs PAT** for cash conversion. **3) Compare post-issue P/E** directly against established industry peers rather than unlisted sector narratives.



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